

in the BT500 study period (October 2021 to September 2022). Paradoxically, for the price-conscious Indian consumer, DMart is a high-quality value proposition—very few, if any, of its peers offer better discounts.

UNSHAKEABLE FOCUS

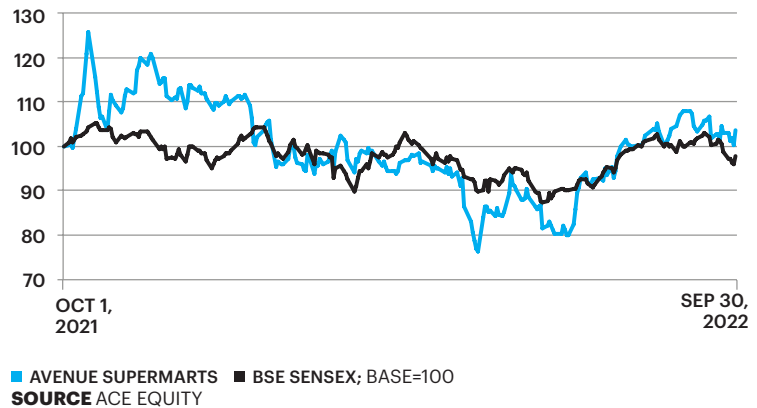
In many ways, identifying the right model and then pursuing it with a long-term approach is what distinguishes a successful retailer from one who struggles.

Abhijeet Kundu, Senior Vice President of Research at Antique Stock Broking, points out that DMart followed the Walmart model by owning real estate. There is a clear logic in this approach. The thumb rule is that rental costs should account for around 3 per cent of a retailer's turnover. And with most efficient retailers operating at an Ebitda margin of 3-4 per cent, the ability to control costs becomes extremely critical. By owning its real estate, DMart is able to deliver higher Ebitda margins since what is saved in rentals goes straight to the bottom line.

The emergence of organised retail in India around two decades ago saw many new entrants, with Big Bazaar and Subhiksha being the prominent ones. Take the case of Kishore Biyani-led Big Bazaar, whose rental model involved a lower-capex (money was largely spent on furniture and fixtures) outgo, with all the focus on retailing. Working capital was deployed to maintain inventory, and in every sense, it was an asset-light model. The low-profile Damani, meanwhile, understood real estate and acquired land in locations where it was affordable and at an early stage of urban development. At the core of his audience is the quintessential Indian middle class, a population that is large, aspirational and tremendously smart. "DMart is basically a large grocery retailer. Like a *kirana* outlet, it owns the land, works on high volumes and low margins," explains Kundu. The capex for land acquisition is amortised over time

GROWTH AVENUE

Avenue Supermarts has outperformed the benchmark BSE Sensex in the past year

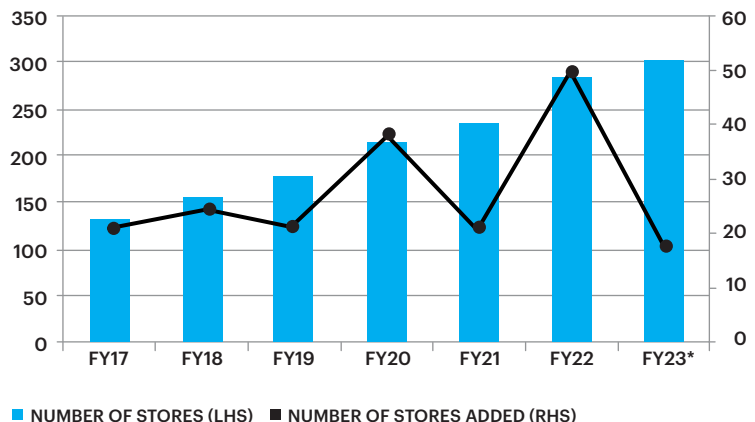


SETTING PULSES RACING

- 1 Promoted by veteran stock market investor Radhakishan Damani, Avenue Supermarts owns DMart, a chain of hypermarkets with 302 stores
- 2 DMart follows the Walmart model of owning real estate, which results in saving on rentals
- 3 The model works on high volumes, tight costs, a cluster-based approach and land acquisition costs that are amortised
- 4 Nearly 65 per cent of DMart stores are located in four states—Maharashtra, Tamil Nadu, Karnataka and Gujarat

HOME IS WHERE THE CART IS

Avenue Supermarts is aggressively expanding its footprint



*H1; IN FY21, AVENUE SUPERMARTS OPENED 22 NEW STORES AND CONVERTED 2 STORES INTO FULFILMENT CENTRES FOR AVENUE E-COMMERCE
SOURCE CENTRUM BROKING, COMPANY